

than down—but if you *really* treat the market as a casino, I'm not sure.

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Unless you look at companies with a fresh perspective, you can't hope to find stocks that are priced below their true value.

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As a matter of fact, gambling can throw some light on the nature of the investment process. Tens of millions of people get a big thrill out of gambling. They fill the casinos, excited by the wheels and whims of fortune. But there's no glamour in running a gambling casino. It's a boring and laborious job, no more exciting than running an iron foundry. The casino managers have to deal with expense controls, personnel, ad campaigns, all the usual demands. They have to give minute attention to details, the same as other business executives. But, laborious and boring as it may be, it happens to be where money is made. The people who are coming into the casinos to have excitement and thrills are transferring their money to people who are following laborious, boring routines.

That's my metaphor for security analysis. Most of it is just plain, hard detail work. It's like doing low-order police work, if you will—making phone calls, checking sources, trying to figure out what's going on.

Gamblers have lucky streaks, but over time the people who are patient and who take care with their investments will do better than those who just look upon the market as a horse race.